

# Earnings Review

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# Nvidia 2FQ25: ROI controversy mis-framed by the sell side; Blackwell delay a non-issue. Buy, \$143 TP.

29 August 2024

**Growth decelerates in line with sell-side.** DC up 16% QoQ in 2Q, 4% above consensus. 3Q guide implies DC up 10% QoQ, in line with consensus.

**Immateriality of Blackwell issues confirmed.**

Management mentioned a simple mask redesign and guides several \$bns of revenues in 4Q. We model \$5bn.

**Hopper filling-in the gap.** Strong & broad-based demand, with CSP mix stable QoQ, and Sovereign AI FY25 revenues now >\$10bn. Hopper set to grow in 2H24 with H200 ramp.

**ROI controversy mis-framed by the sell side.**

Questions on the call reflect little understanding of investment dynamics. Read our recent work on the matter to understand the economic sustainability of investments in AI infrastructure.

**Buy, \$143 TP.** We conservatively model \$5 EPS in FY 28, assuming growth normalizing to 10-15% p.a.

**Growth beyond 2025 becomes our focus:**

Consumer Internet deployments, frontier models, and shift towards inference remain primary drivers. We also monitor user adoption, Enterprise deployments and sovereign AI.

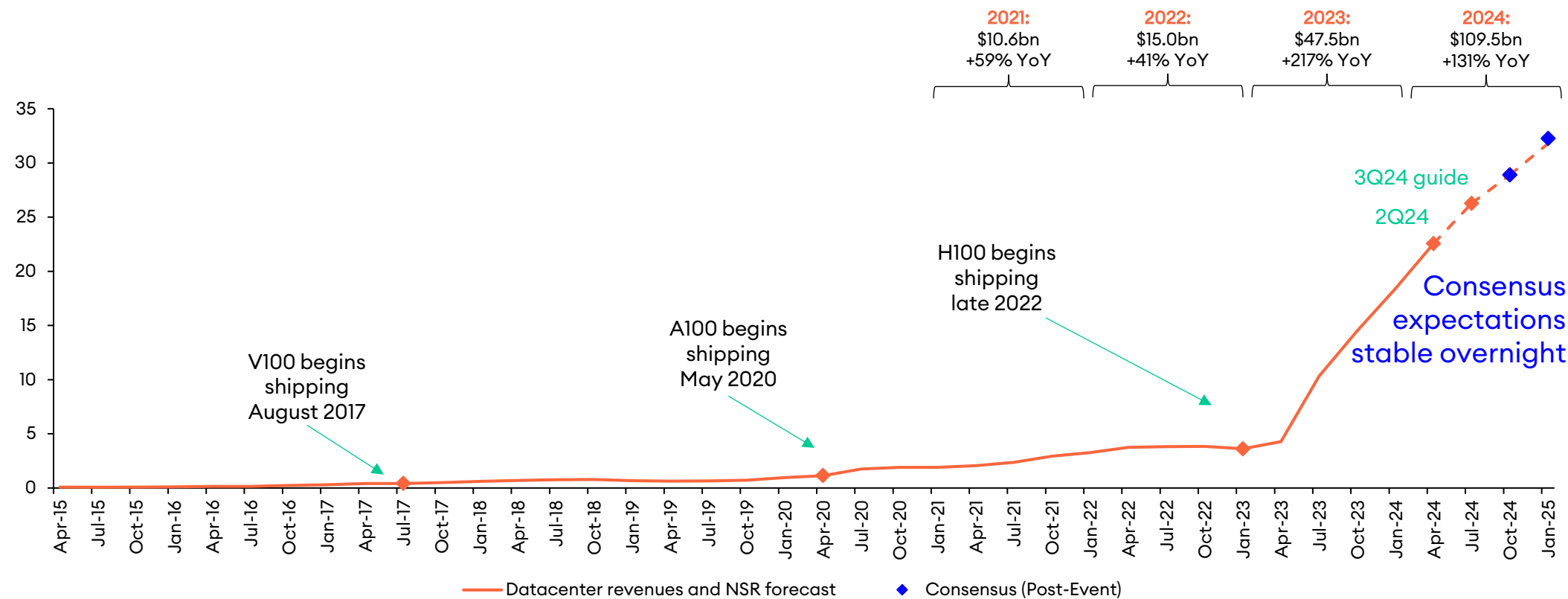
# Nvidia 2FQ25 earnings (and 3FQ25 guide) vs. our expectations

| NVIDIA, NSR vs. Cons. (US\$m)       | 2FQ24A<br>(Jul '23) | 3FQ24A<br>(Oct '23) | 4FQ24A<br>(Jan '24) | 1FQ25A<br>(Apr '24) | 2FQ25E<br>(Jul '24) |         |         |         |                 |                  | 3FQ25E<br>(Oct '24) |         |         |                    |                     |
|-------------------------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------|---------|---------|-----------------|------------------|---------------------|---------|---------|--------------------|---------------------|
| Number of Brokers (EPS / DC)        |                     |                     |                     |                     | 45 / 18             |         |         |         |                 |                  | 44 / 15             |         |         |                    |                     |
| Financial Year                      | Reptd.              | Reptd.              | Reptd.              | Reptd.              | Guide               | Reptd   | NSR     | Cons.   | Delta vs<br>NSR | Delta vs<br>Cons | Guide               | NSR     | Cons.   | Mid-Guid<br>vs NSR | Mid-Guid<br>vs Cons |
| <i>Income Statement (Non-GAAP)</i>  |                     |                     |                     |                     |                     |         |         |         |                 |                  |                     |         |         |                    |                     |
| <b>Revenue</b>                      | 13,507              | 18,120              | 22,103              | 26,044              | 27,440 - 28,560     | 30,040  | 28,556  | 28,737  | 5.2%            | 4.5%             | 31,850 - 33,150     | 31,901  | 31,714  | 1.9%               | 2.5%                |
| Year-on-Year Growth (%)             | 101%                | 206%                | 265%                | 262%                | 107%                | 122%    | 111%    | 113%    |                 |                  | 79.4%               | 76%     | 75%     |                    |                     |
| <b>Gaming</b>                       | 2,486               | 2,856               | 2,865               | 2,647               |                     | 2,880   | 2,779   | 2,708   | 3.6%            | 6.3%             |                     | 3,029   | 2,950   |                    |                     |
| Year-on-Year Growth (%)             | 21.7%               | 81.4%               | 56.5%               | 18.2%               |                     | 16%     | 12%     | 9%      |                 |                  |                     | 6%      | 3%      |                    |                     |
| <b>Datacenter</b>                   | 10,323              | 14,514              | 18,404              | 22,563              |                     | 26,272  | 24,842  | 25,270  | 5.8%            | 4.0%             |                     | 27,897  | 28,354  |                    |                     |
| Year-on-Year Growth (%)             | 171.2%              | 278.7%              | 409.0%              | 426.7%              |                     | 154%    | 141%    | 145%    |                 |                  |                     | 92%     | 95%     |                    |                     |
| <b>Professional Visualization</b>   | 379                 | 416                 | 463                 | 427                 |                     | 454     | 495     | 450     | (8.3%)          | 0.8%             |                     | 505     | 477     |                    |                     |
| Year-on-Year Growth (%)             | (23.6%)             | 108.0%              | 104.9%              | 44.7%               |                     | 20%     | 31%     | 19%     |                 |                  |                     | 21%     | 15%     |                    |                     |
| <b>Automotive</b>                   | 253                 | 261                 | 281                 | 329                 |                     | 346     | 362     | 345     | (4.4%)          | 0.3%             |                     | 391     | 367     |                    |                     |
| Year-on-Year Growth (%)             | 15.0%               | 4.0%                | (4.4%)              | 11.1%               |                     | 37%     | 43%     | 36%     |                 |                  |                     | 50%     | 41%     |                    |                     |
| <b>OEM &amp; IP</b>                 | 66                  | 73                  | 90                  | 78                  |                     | 88      | 78      | 78      | 12.8%           | 13.4%            |                     | 78      | 79      |                    |                     |
| Year-on-Year Growth (%)             | (52.9%)             | --                  | 7.1%                | 1.3%                |                     | 33%     | 18%     | 18%     |                 |                  |                     | 7%      | 8%      |                    |                     |
| Cost of Goods Sold                  | (3,893)             | (4,537)             | (5,144)             | (5,484)             |                     | (7,311) | (6,870) | (6,984) | 6.4%            | 4.7%             |                     | (7,993) | (7,770) |                    |                     |
| Gross Profit                        | 9,614               | 13,583              | 16,959              | 20,560              | 20,580 - 21,706     | 22,729  | 21,687  | 21,753  | 4.8%            | 4.5%             | 23,728 - 25,028     | 23,908  | 23,944  | 2.0%               | 1.8%                |
| <b>Gross Margin (%)</b>             | 71.2%               | 75.0%               | 76.7%               | 78.9%               | 75.0% - 76.0%       | 75.7%   | 75.9%   | 75.7%   | (0.3pts)        | (0.0pts)         | 74.5% - 75.5%       | 74.9%   | 75.5%   | 0.1pts             | (0.5pts)            |
| Operating Expenditure               | (1,838)             | (2,026)             | (2,210)             | (2,501)             | (2800)              | (2,792) | (2,801) | (2,880) | (0.3%)          | (3.1%)           | (3000)              | (3,003) | (3,031) |                    |                     |
| Year-on-Year Growth (%)             | 5.1%                | 13.0%               | 24.5%               | 42.9%               |                     | 52%     | 52%     | 57%     |                 |                  |                     | 48%     | 50%     |                    |                     |
| Operating Profit                    | 7,776               | 11,557              | 14,749              | 18,059              |                     | 19,937  | 18,886  | 18,873  | 5.6%            | 5.6%             |                     | 20,905  | 20,914  |                    |                     |
| <b>Operating Margin (%)</b>         | 57.6%               | 63.8%               | 66.7%               | 69.3%               |                     | 66.4%   | 66.1%   | 65.7%   | 0.2pts          | 0.7pts           |                     | 65.5%   | 65.9%   |                    |                     |
| Interest Income / (Expense) + Other | 120                 | 175                 | 232                 | 302                 | 300                 | 380     | 296     | 155     | 28%             | 146%             | 350                 | 296     | 125     |                    |                     |
| Profit Before Tax                   | 7,896               | 11,732              | 14,981              | 18,361              |                     | 20,317  | 19,182  | 19,027  | 5.9%            | 6.8%             |                     | 21,201  | 21,039  |                    |                     |
| Tax Charge                          | (1,156)             | (1,712)             | (2,142)             | (3,123)             |                     | (3,365) | (3,263) | (3,228) | 3.1%            | 4.2%             |                     | (3,606) | (3,573) |                    |                     |
| <b>Tax Rate (%)</b>                 | 14.6%               | 14.6%               | 14.3%               | 17.0%               | 17.0%               | 16.6%   | 17.0%   | 17.0%   | (0.4pts)        | (0.4pts)         | 16 - 18%            | 17.0%   | 17.0%   |                    |                     |
| Net Income                          | 6,740               | 10,020              | 12,839              | 15,238              |                     | 16,952  | 15,919  | 15,799  | 6.5%            | 7.3%             |                     | 17,595  | 17,466  |                    |                     |
| Diluted Shares Outstanding (m)      | 24,990              | 24,940              | 24,900              | 24,890              |                     | 24,929  | 24,860  | 24,478  | 0.3%            | 1.8%             |                     | 24,829  | 24,494  |                    |                     |
| <b>Diluted EPS (US\$)</b>           | 0.27                | 0.40                | 0.52                | 0.61                |                     | 0.68    | 0.64    | 0.65    | 6.2%            | 5.4%             |                     | 0.71    | 0.71    |                    |                     |

Source: Corporate reports, FactSet Consensus and NSR estimates and analysis (pre-model update).

# The outlook for datacenter was broadly stable, implying \$109bn revenues in 2024

Sequential growth slowing to 10-15% in 3-4Q24 implies \$109bn datacenter revenue in FY25 (2024)

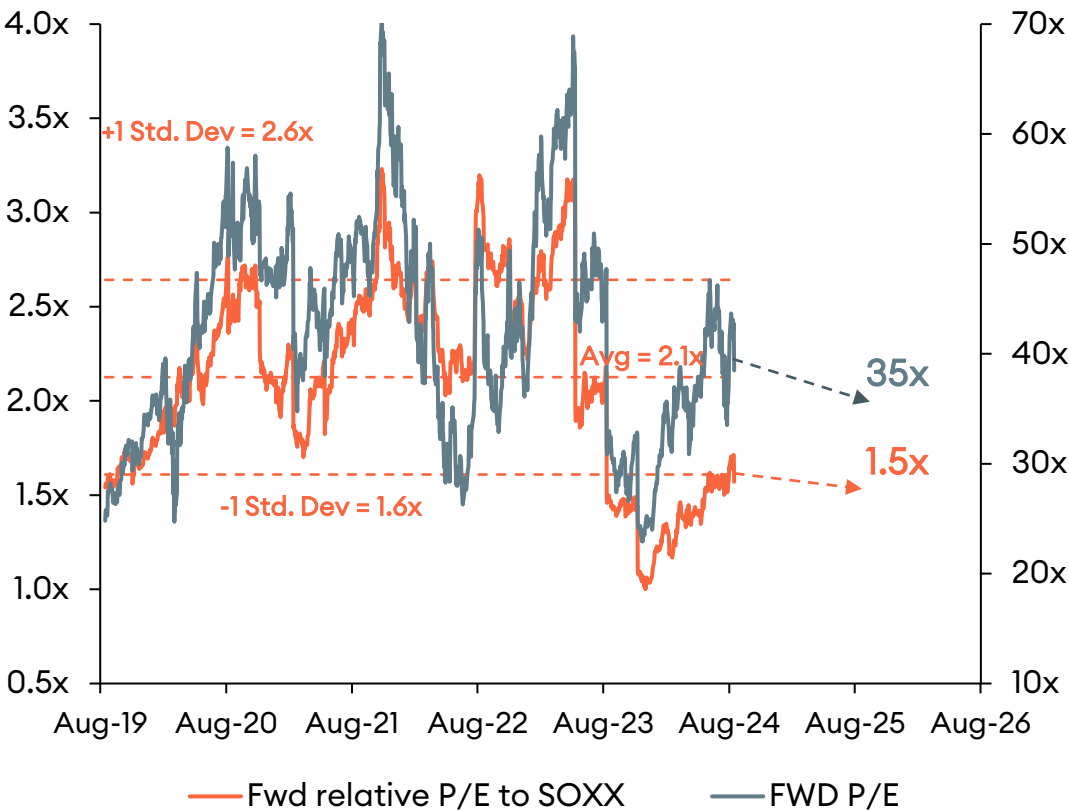


Source: Corporate reports, FactSet consensus and NSR estimates and analysis.

# Buy, \$143 TP: 35x our 2027 EPS of \$5 (1.5x the SOXX), discounted back

1.5x the SOXX is at the bottom the the historical range      Implies \$143 12-months TP, 19% upside

LHS: NTM P/E relative to SOXX (x); RHS: NTM P/E (x)



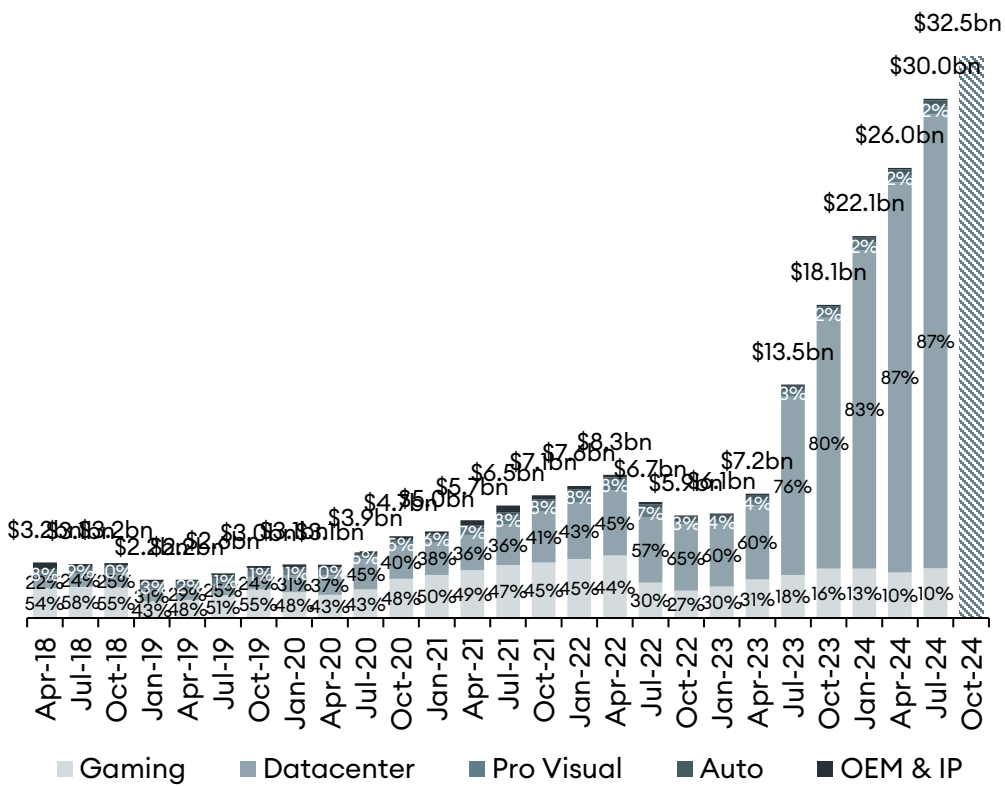
|                                   |       |
|-----------------------------------|-------|
| 2027 EPS (US\$)                   | \$5   |
| Forward multiple relative to SOXX | 1.5x  |
| SOXX forward multiple (x)         | 24x   |
| Multiple (x)                      | 35x   |
| 2026 TP (US\$)                    | \$170 |
| Current Price (pre-market)        | \$120 |
| 2-year upside (%)                 | 42%   |
| 1-year upside                     | 19%   |
| 2025 TP (US\$)                    | \$143 |

Source: Corporate reports and NSR estimates and analysis.

# Revenues increased 15% sequentially, driven by Datacenter

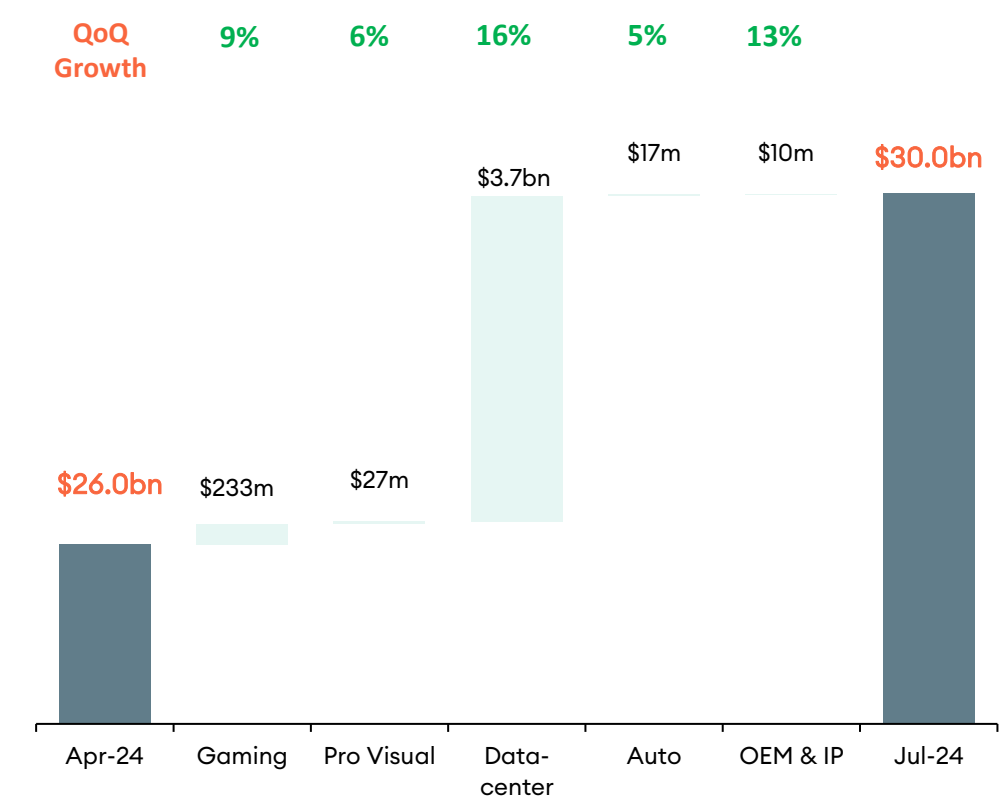
## Datacenter stable in the mix

Nvidia revenue by segment (US\$bn)



## Datacenter up 16% QoQ, Gaming up 9%

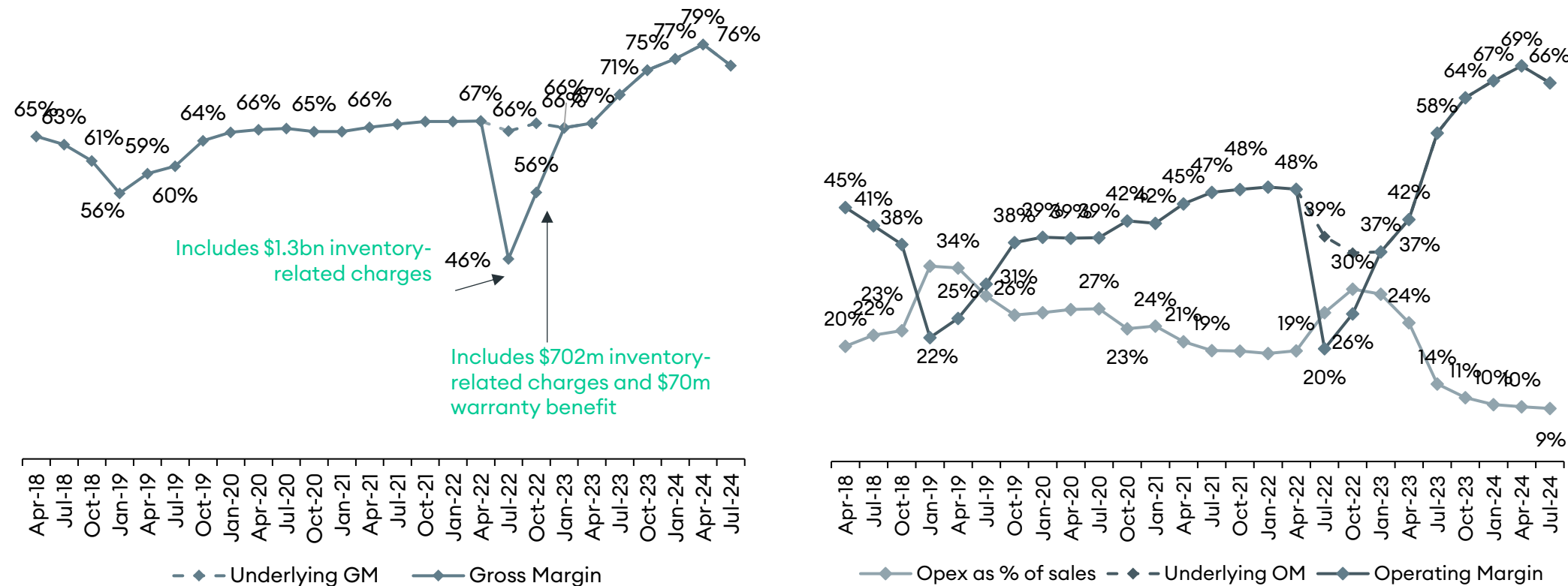
Nvidia sequential segment revenue bridge (US\$bn)



Source: Corporate reports and NSR analysis.

# GM and OM down 3pts QoQ driven by higher HBM content

LHS: Nvidia gross margin (%) RHS: Nvidia operating margin & opex as a % of sales (%)



Source: Corporate reports, and NSR analysis.

## Model updates - Quarterly

| NVIDIA (US\$m)             | 2FQ25A<br>(Jul '24) |         |        | 3FQ25E<br>(Oct '24) |         |       | 4FQ25E<br>(Jan '25) |         |        |
|----------------------------|---------------------|---------|--------|---------------------|---------|-------|---------------------|---------|--------|
| Reported Income Statement  | Before              | After   | Delta  | Before              | After   | Delta | Before              | After   | Delta  |
| Reported Revenue           | 28,556              | 30,040  | 5%     | 31,901              | 32,875  | 3%    | 35,340              | 36,410  | 3%     |
| Gaming                     | 2,779               | 2,880   | 4%     | 3,029               | 3,024   | 0%    | 3,029               | 3,024   | 0%     |
| Professional Visualization | 495                 | 454     | -8%    | 505                 | 490     | -3%   | 530                 | 520     | -2%    |
| Datacenter                 | 24,842              | 26,272  | 6%     | 27,897              | 28,899  | 4%    | 31,261              | 32,367  | 4%     |
| Automotive                 | 362                 | 346     | -4%    | 391                 | 374     | -4%   | 442                 | 411     | -7%    |
| OEM & IP                   | 78                  | 88      | 13%    | 78                  | 88      | 13%   | 78                  | 88      | 13%    |
| Others                     | 3,715               | 3,768   | 1%     | 4,004               | 3,976   | -1%   | 4,080               | 4,043   | -1%    |
| COGS                       | (6,870)             | (7,311) | 6%     | (7,993)             | (8,231) | 3%    | (8,926)             | (9,407) | 5%     |
| Reported Gross Profit      | 21,687              | 22,729  | 5%     | 23,908              | 24,644  | 3%    | 26,415              | 27,002  | 2%     |
| Gross Margin (%)           | 75.9%               | 75.7%   | -0.3pt | 74.9%               | 75.0%   | 0.0pt | 74.7%               | 74.2%   | -0.6pt |
| Opex                       | (2,801)             | (2,792) | 0%     | (3,003)             | (3,000) | 0%    | (3,219)             | (3,217) | 0%     |
| R&D                        | (2,242)             | (2,258) | 1%     | (2,410)             | (2,427) | 1%    | (2,591)             | (2,609) | 1%     |
| SG&A                       | (559)               | (534)   | -4%    | (592)               | (573)   | -3%   | (628)               | (607)   | -3%    |
| Operating Profit           | 18,886              | 19,937  | 6%     | 20,905              | 21,644  | 4%    | 23,196              | 23,786  | 3%     |
| Operating Margin (%)       | 66.1%               | 66.4%   | 0.2pt  | 65.5%               | 65.8%   | 0.3pt | 65.6%               | 65.3%   | -0.3pt |
| Interest Income & Other    | 296                 | 380     | 28%    | 296                 | 350     | 18%   | 296                 | 350     | 18%    |
| Profit Before Tax          | 19,182              | 20,317  | 6%     | 21,201              | 21,994  | 4%    | 23,492              | 24,136  | 3%     |
| Tax Rate                   | 17.0%               | 16.6%   | -0.4pt | 17.0%               | 17.0%   | 0.0pt | 17.0%               | 17.0%   | 0.0pt  |
| Tax Charge                 | (3,263)             | (3,365) | 3%     | (3,606)             | (3,739) | 4%    | (3,996)             | (4,103) | 3%     |
| Reported Net Income        | 15,919              | 16,952  | 6%     | 17,595              | 18,255  | 4%    | 19,496              | 20,033  | 3%     |
| Diluted Shares Outstanding | 24,860              | 24,848  | 0%     | 24,829              | 24,820  | 0%    | 24,801              | 24,796  | 0%     |
| Reported Diluted EPS(US\$) | 0.64                | 0.68    | 7%     | 0.71                | 0.74    | 4%    | 0.79                | 0.81    | 3%     |

Source: Corporate reports, and NSR estimates and analysis.



## Model updates - Annually

| NVIDIA (US\$m)             | FY25E<br>(Jan '25) |          |        | FY26E<br>(Jan '26) |          |        | FY27E<br>(Jan '27) |          |        | FY28E<br>(Jan '28) |          |        |
|----------------------------|--------------------|----------|--------|--------------------|----------|--------|--------------------|----------|--------|--------------------|----------|--------|
| Reported Income Statement  | Before             | After    | Delta  | Before             | After    | Delta  | Before             | After    | Delta  | Before             | After    | Delta  |
| Reported Revenue           | 121,842            | 125,369  | 3%     | 168,089            | 171,469  | 2%     | 195,863            | 196,924  | 1%     | 221,804            | 220,791  | 0%     |
| Gaming                     | 11,485             | 11,575   | 1%     | 12,864             | 12,733   | -1%    | 14,407             | 14,006   | -3%    | 16,136             | 15,406   | -5%    |
| Professional Visualization | 1,958              | 1,891    | -3%    | 2,193              | 2,175    | -1%    | 2,522              | 2,501    | -1%    | 2,900              | 2,876    | -1%    |
| Datacenter                 | 106,563            | 110,101  | 3%     | 150,587            | 154,142  | 2%     | 175,735            | 177,263  | 1%     | 198,756            | 198,535  | 0%     |
| Automotive                 | 1,523              | 1,460    | -4%    | 2,102              | 2,044    | -3%    | 2,838              | 2,759    | -3%    | 3,633              | 3,559    | -2%    |
| OEM & IP                   | 312                | 342      | 10%    | 343                | 376      | 10%    | 360                | 395      | 10%    | 378                | 415      | 10%    |
| Others                     | 15,279             | 15,268   | 0%     | 17,502             | 17,327   | -1%    | 20,128             | 19,661   | -2%    | 23,047             | 22,256   | -3%    |
| COGS                       | (29,273)           | (30,434) | 4%     | (42,065)           | (45,054) | 7%     | (50,974)           | (53,711) | 5%     | (59,943)           | (62,429) | 4%     |
| Reported Gross Profit      | 92,569             | 94,936   | 3%     | 126,024            | 126,415  | 0%     | 144,889            | 143,212  | -1%    | 161,861            | 158,362  | -2%    |
| Gross Margin (%)           | 76.0%              | 75.7%    | -0.2pt | 75.0%              | 73.7%    | -1.2pt | 74.0%              | 72.7%    | -1.2pt | 73.0%              | 71.7%    | -1.2pt |
| Opex                       | (11,523)           | (11,510) | 0%     | (13,482)           | (14,165) | 5%     | (14,831)           | (15,582) | 5%     | (16,017)           | (16,361) | 2%     |
| R&D                        | (9,236)            | (9,288)  | 1%     | (10,807)           | (11,610) | 7%     | (11,887)           | (12,771) | 7%     | (12,838)           | (13,409) | 4%     |
| SG&A                       | (2,287)            | (2,222)  | -3%    | (2,676)            | (2,556)  | -4%    | (2,943)            | (2,811)  | -4%    | (3,179)            | (2,952)  | -7%    |
| Operating Profit           | 81,045             | 83,425   | 3%     | 112,542            | 112,250  | 0%     | 130,058            | 127,630  | -2%    | 145,844            | 142,001  | -3%    |
| Operating Margin (%)       | 66.5%              | 66.5%    | 0.0pt  | 67.0%              | 65.5%    | -1.5pt | 66.4%              | 64.8%    | -1.6pt | 65.8%              | 64.3%    | -1.4pt |
| Interest Income & Other    | 1,190              | 1,382    | 16%    | 1,184              | 1,400    | 18%    | 1,184              | 1,400    | 18%    | 1,184              | 1,400    | 18%    |
| Profit Before Tax          | 82,235             | 84,807   | 3%     | 113,726            | 113,650  | 0%     | 131,242            | 129,030  | -2%    | 147,028            | 143,401  | -2%    |
| Tax Rate                   | 17.0%              | 16.9%    | -0.1pt | 17.0%              | 17.0%    | 0.0pt  | 17.0%              | 17.0%    | 0.0pt  | 17.0%              | 17.0%    | 0.0pt  |
| Tax Charge                 | (13,987)           | (14,330) | 2%     | (19,343)           | (19,320) | 0%     | (22,323)           | (21,935) | -2%    | (25,008)           | (24,378) | -3%    |
| Reported Net Income        | 68,248             | 70,477   | 3%     | 94,382             | 94,329   | 0%     | 108,919            | 107,095  | -2%    | 122,020            | 119,023  | -2%    |
| Diluted Shares Outstanding | 24,842             | 24,835   | 0%     | 24,750             | 24,729   | 0%     | 24,661             | 24,629   | 0%     | 24,578             | 24,512   | 0%     |
| Reported Diluted EPS(US\$) | 2.75               | 2.84     | 3%     | 3.81               | 3.81     | 0%     | 4.42               | 4.35     | -2%    | 4.96               | 4.86     | -2%    |

Source: Corporate reports, and NSR estimates and analysis.



# NSR vs. Consensus - Quarterly

| NVIDIA, NSR vs. Cons. (US\$m)       | 3FQ24A<br>(Oct '23) | 4FQ24A<br>(Jan '24) | 1FQ25A<br>(Apr '24) | 2FQ25A<br>(Jul '24) | 3FQ25E<br>(Oct '24)    |               |               |                 | 4FQ25E<br>(Jan '25) |               |               |
|-------------------------------------|---------------------|---------------------|---------------------|---------------------|------------------------|---------------|---------------|-----------------|---------------------|---------------|---------------|
| Number of Brokers (EPS / DC)        |                     |                     |                     |                     | 45 / 17                |               |               |                 | 43 / 15             |               |               |
| Financial Year                      | Reptd.              | Reptd.              | Reptd.              | Reptd.              | Guide                  | NSR           | Cons.         | Delta           | NSR                 | Cons.         | Delta         |
| <i>Income Statement (Non-GAAP)</i>  |                     |                     |                     |                     |                        |               |               |                 |                     |               |               |
| <b>Revenue</b>                      | <b>18,120</b>       | <b>22,103</b>       | <b>26,044</b>       | <b>30,040</b>       | <b>31,850 - 33,150</b> | <b>32,875</b> | <b>32,961</b> | <b>(0.3%)</b>   | <b>36,410</b>       | <b>36,869</b> | <b>(1.2%)</b> |
| Year-on-Year Growth (%)             | 206%                | 265%                | 262%                | 122%                | 79.4%                  | 81%           | 82%           |                 | 65%                 | 67%           |               |
| Quarter-on-Quarter Growth (%)       | 34%                 | 22%                 | 18%                 | 15%                 | 8.2%                   | 9%            | 10%           |                 | 11%                 | 12%           |               |
| <b>Gaming</b>                       | <b>2,856</b>        | <b>2,865</b>        | <b>2,647</b>        | <b>2,880</b>        |                        | <b>3,024</b>  | <b>2,962</b>  | <b>2.1%</b>     | <b>3,024</b>        | <b>2,979</b>  | <b>1.5%</b>   |
| Year-on-Year Growth (%)             | 81.4%               | 56.5%               | 18.2%               | 15.8%               |                        | 6%            | 4%            |                 | 6%                  | 4%            |               |
| Quarter-on-Quarter Growth (%)       | 14.9%               | 0.3%                | (7.6%)              | 8.8%                |                        | 5%            | 3%            |                 | --                  | 1%            |               |
| <b>Datacenter</b>                   | <b>14,514</b>       | <b>18,404</b>       | <b>22,563</b>       | <b>26,272</b>       |                        | <b>28,899</b> | <b>28,654</b> | <b>0.9%</b>     | <b>32,367</b>       | <b>32,760</b> | <b>(1.2%)</b> |
| Year-on-Year Growth (%)             | 278.7%              | 409.0%              | 426.7%              | 154.5%              |                        | 99%           | 97%           |                 | 76%                 | 78%           |               |
| Quarter-on-Quarter Growth (%)       | 40.6%               | 26.8%               | 22.6%               | 16.4%               |                        | 10%           | 9%            |                 | 12%                 | 14%           |               |
| <b>Professional Visualization</b>   | <b>416</b>          | <b>463</b>          | <b>427</b>          | <b>454</b>          |                        | <b>490</b>    | <b>482</b>    | <b>1.6%</b>     | <b>520</b>          | <b>509</b>    | <b>2.2%</b>   |
| Year-on-Year Growth (%)             | 108.0%              | 104.9%              | 44.7%               | 19.8%               |                        | 18%           | 16%           |                 | 12%                 | 10%           |               |
| Quarter-on-Quarter Growth (%)       | 9.8%                | 11.3%               | (7.8%)              | 6.3%                |                        | 8%            | 6%            |                 | 6%                  | 5%            |               |
| <b>Automotive</b>                   | <b>261</b>          | <b>281</b>          | <b>329</b>          | <b>346</b>          |                        | <b>374</b>    | <b>368</b>    | <b>1.5%</b>     | <b>411</b>          | <b>404</b>    | <b>1.7%</b>   |
| Year-on-Year Growth (%)             | 4.0%                | (4.4%)              | 11.1%               | 36.8%               |                        | 43%           | 41%           |                 | 46%                 | 44%           |               |
| Quarter-on-Quarter Growth (%)       | 3.2%                | 7.7%                | 17.1%               | 5.2%                |                        | 8%            | 6%            |                 | 10%                 | 10%           |               |
| <b>OEM &amp; IP</b>                 | <b>73</b>           | <b>90</b>           | <b>78</b>           | <b>88</b>           |                        | <b>88</b>     | <b>88</b>     | <b>(0.2%)</b>   | <b>88</b>           | <b>90</b>     | <b>(2.3%)</b> |
| Year-on-Year Growth (%)             | --                  | 7.1%                | 1.3%                | 33.3%               |                        | 21%           | 21%           |                 | (2%)                | 0%            |               |
| Quarter-on-Quarter Growth (%)       | 10.6%               | 23.3%               | (13.3%)             | 12.8%               |                        | --            | 0%            |                 | --                  | 2%            |               |
| Cost of Goods Sold                  | (4,537)             | (5,144)             | (5,484)             | (7,311)             |                        | (8,231)       | (8,266)       | <b>(0.4%)</b>   | (9,407)             | (9,732)       | <b>(3.3%)</b> |
| Gross Profit                        | 13,583              | 16,959              | 20,560              | 22,729              | 23,728 - 25,028        | 24,644        | 24,695        | <b>(0.2%)</b>   | 27,002              | 27,137        | <b>(0.5%)</b> |
| <b>Gross Margin (%)</b>             | <b>75.0%</b>        | <b>76.7%</b>        | <b>78.9%</b>        | <b>75.7%</b>        | <b>74.5% - 75.5%</b>   | <b>75.0%</b>  | <b>74.9%</b>  | <b>0.0pts</b>   | <b>74.2%</b>        | <b>73.6%</b>  | <b>0.6pts</b> |
| Operating Expenditure               | (2,026)             | (2,210)             | (2,501)             | (2,792)             | (3,000)                | (3,000)       | (2,984)       | <b>0.6%</b>     | (3,217)             | (3,268)       | <b>(1.6%)</b> |
| Year-on-Year Growth (%)             | 13.0%               | 24.5%               | 42.9%               | 51.9%               |                        | 48%           | 47%           |                 | 46%                 | 48%           |               |
| Operating Profit                    | 11,557              | 14,749              | 18,059              | 19,937              |                        | 21,644        | 21,712        | <b>(0.3%)</b>   | 23,786              | 23,869        | <b>(0.3%)</b> |
| <b>Operating Margin (%)</b>         | <b>63.8%</b>        | <b>66.7%</b>        | <b>69.3%</b>        | <b>66.4%</b>        |                        | <b>65.8%</b>  | <b>65.9%</b>  | <b>(0.0pts)</b> | <b>65.3%</b>        | <b>64.7%</b>  | <b>0.6pts</b> |
| Interest Income / (Expense) + Other | 175                 | 232                 | 302                 | 380                 | 350                    | 350           | 290           | <b>21%</b>      | 350                 | 355           | <b>(2%)</b>   |
| Profit Before Tax                   | 11,732              | 14,981              | 18,361              | 20,317              |                        | 21,994        | 22,001        | <b>(0.0%)</b>   | 24,136              | 24,224        | <b>(0.4%)</b> |
| Tax Charge                          | (1,712)             | (2,142)             | (3,123)             | (3,365)             |                        | (3,739)       | (3,719)       | <b>0.5%</b>     | (4,103)             | (4,095)       | <b>0.2%</b>   |
| Tax Rate (%)                        | 14.6%               | 14.3%               | 17.0%               | 16.6%               | 16 - 18%               | 17.0%         | 16.9%         | <b>0.1pts</b>   | 17.0%               | 16.9%         | <b>0.1pts</b> |
| Net Income                          | 10,020              | 12,839              | 15,238              | 16,952              |                        | 18,255        | 18,283        | <b>(0.2%)</b>   | 20,033              | 20,130        | <b>(0.5%)</b> |
| Diluted Shares Outstanding (m)      | 24,940              | 24,900              | 24,890              | 24,848              |                        | 24,820        | 24,691        | <b>0.5%</b>     | 24,796              | 24,768        | <b>0.1%</b>   |
| <b>Diluted EPS (US\$)</b>           | <b>0.40</b>         | <b>0.52</b>         | <b>0.61</b>         | <b>0.68</b>         |                        | <b>0.74</b>   | <b>0.74</b>   | <b>(0.7%)</b>   | <b>0.81</b>         | <b>0.81</b>   | <b>(0.6%)</b> |

Source: Corporate reports, (post-event) FactSet Consensus, and NSR estimates and analysis.

# NSR vs. Consensus - Annually

| NVIDIA, New Street vs. Consensus    | FY23A<br>(Jan '23) | FY24A<br>(Jan '24) | FY25E<br>(Jan '25) |          |          |        | FY26E<br>(Jan '26) |          |          | FY27E<br>(Jan '27) |          |          | FY28E<br>(Jan '28) |          |          |
|-------------------------------------|--------------------|--------------------|--------------------|----------|----------|--------|--------------------|----------|----------|--------------------|----------|----------|--------------------|----------|----------|
| Number of Brokers (EPS / DC)        |                    |                    | 56 / 21            |          |          |        | 58 / 21            |          |          | 32 / 14            |          |          | 5 / 4              |          |          |
| Financial Year                      | Reptd.             | Reptd.             | Guide              | NSR      | Cons.    | Delta  | NSR                | Cons.    | Delta    | NSR                | Cons.    | Delta    | NSR                | Cons.    | Delta    |
| Income Statement (Non-GAAP)         |                    |                    |                    |          |          |        |                    |          |          |                    |          |          |                    |          |          |
| Revenue                             | 26,974             | 60,922             |                    | 125,369  | 125,542  | (0.1%) | 171,469            | 176,421  | (2.8%)   | 196,924            | 202,167  | (2.6%)   | 220,791            | 220,878  | (0.0%)   |
| Year-on-Year Growth (%)             | 0%                 | 126%               |                    | 106%     | 106%     |        | 37%                | 41%      |          | 15%                | 15%      |          | 12%                | 9%       |          |
| Gaming                              | 9,067              | 10,447             |                    | 11,575   | 11,522   | 0.5%   | 12,733             | 11,886   | 7.1%     | 14,006             | 12,278   | 14.1%    | 15,406             | 12,847   | 19.9%    |
| Year-on-Year Growth (%)             | (27.2%)            | 15.2%              |                    | 11%      | 10%      |        | 10%                | 3%       |          | 10%                | 3%       |          | 10%                | 5%       |          |
| Datacenter                          | 15,005             | 47,525             |                    | 110,101  | 109,392  | 0.6%   | 154,142            | 156,955  | (1.8%)   | 177,263            | 178,269  | (0.6%)   | 198,535            | 199,599  | (0.5%)   |
| Year-on-Year Growth (%)             | 41%                | 217%               |                    | 132%     | 130%     |        | 40%                | 43%      |          | 15%                | 14%      |          | 12%                | 12%      |          |
| Professional Visualization          | 1,544              | 1,553              |                    | 1,891    | 1,859    | 1.7%   | 2,175              | 2,099    | 3.6%     | 2,501              | 2,584    | (3.2%)   | 2,876              | 3,934    | (26.9%)  |
| Year-on-Year Growth (%)             | (26.9%)            | 0.6%               |                    | 22%      | 20%      |        | 15%                | 13%      |          | 15%                | 23%      |          | 15%                | 52%      |          |
| Automotive                          | 903                | 1,091              |                    | 1,460    | 1,449    | 0.7%   | 2,044              | 2,054    | (0.5%)   | 2,759              | 3,000    | (8.0%)   | 3,559              | 3,410    | 4.4%     |
| Year-on-Year Growth (%)             | 59.5%              | 20.8%              |                    | 34%      | 33%      |        | 40%                | 42%      |          | 35%                | 46%      |          | 29%                | 14%      |          |
| OEM & IP                            | 455                | 306                |                    | 342      | 338      | 1.2%   | 376                | 356      | 5.6%     | 395                | 379      | 4.2%     | 415                | 300      | 38.3%    |
| Year-on-Year Growth (%)             | (60.8%)            | (32.7%)            |                    | 12%      | 10%      |        | 10%                | 5%       |          | 5%                 | 6%       |          | 5%                 | (21%)    |          |
| Cost of Goods Sold                  | (11,009)           | (15,964)           |                    | (30,434) | (30,685) | (0.8%) | (45,054)           | (45,976) | (2.0%)   | (53,711)           | (55,475) | (3.2%)   | (62,429)           | (64,188) | (2.7%)   |
| Gross Profit                        | 15,965             | 44,958             |                    | 94,936   | 94,857   | 0.1%   | 126,415            | 130,445  | (3.1%)   | 143,212            | 146,691  | (2.4%)   | 158,362            | 156,690  | 1.1%     |
| Gross Margin (%)                    | 59.2%              | 73.8%              | Mid 70's           | 75.7%    | 75.6%    | 0.2pts | 73.7%              | 73.9%    | (0.2pts) | 72.7%              | 72.6%    | 0.2pts   | 71.7%              | 70.9%    | 0.8pts   |
| Operating Expenditure               | (6,925)            | (7,824)            |                    | (11,510) | (11,787) | (2.4%) | (14,165)           | (15,814) | (10.4%)  | (15,582)           | (15,645) | (0.4%)   | (16,361)           | (12,863) | 27.2%    |
| Year-on-Year Growth (%)             | 31.2%              | 13.0%              | Up mid/high 40's   | 47%      | 51%      |        | 23%                | 34%      |          | 10%                | (1%)     |          | 5%                 | (18%)    |          |
| Operating Profit                    | 9,040              | 37,134             |                    | 83,425   | 83,070   | 0.4%   | 112,250            | 114,631  | (2.1%)   | 127,630            | 131,046  | (2.6%)   | 142,001            | 143,828  | (1.3%)   |
| Operating Margin (%)                | 33.5%              | 61.0%              |                    | 66.5%    | 66.2%    | 0.4pts | 65.5%              | 65.0%    | 0.5pts   | 64.8%              | 64.8%    | (0.0pts) | 64.3%              | 65.1%    | (0.8pts) |
| Interest Income / (Expense) + Other | 6                  | 611                |                    | 1,382    | 765      | 81%    | 1,400              | 1,418    | (1%)     | 1,400              | 2,143    | (35%)    | 1,400              | (10,780) | (113%)   |
| Profit Before Tax                   | 9,046              | 37,745             |                    | 84,807   | 83,835   | 1.2%   | 113,650            | 116,049  | (2.1%)   | 129,030            | 133,189  | (3.1%)   | 143,401            | 133,048  | 7.8%     |
| Tax Charge                          | (680)              | (5,433)            |                    | (14,330) | (14,000) | 2.4%   | (19,320)           | (19,463) | (0.7%)   | (21,935)           | (21,864) | 0.3%     | (24,378)           | (24,267) | 0.5%     |
| Tax Rate (%)                        | 7.5%               | 14.4%              |                    | 16.9%    | 16.7%    | 0.2pts | 17.0%              | 16.8%    | 0.2pts   | 17.0%              | 16.4%    | 0.6pts   | 17.0%              | 18.2%    | (1.2pts) |
| Net Income                          | 8,366              | 32,312             |                    | 70,477   | 69,835   | 0.9%   | 94,329             | 96,586   | (2.3%)   | 107,095            | 111,324  | (3.8%)   | 119,023            | 108,781  | 9.4%     |
| Diluted Shares Outstanding (m)      | 25,113             | 24,931             |                    | 24,835   | 24,601   | 1.0%   | 24,729             | 23,824   | 3.8%     | 24,629             | 24,511   | 0.5%     | 24,512             | 22,020   | 11.3%    |
| Diluted EPS (US\$)                  | 0.33               | 1.30               |                    | 2.84     | 2.84     | (0.0%) | 3.81               | 4.05     | (5.9%)   | 4.35               | 4.54     | (4.3%)   | 4.86               | 4.94     | (1.7%)   |

Source: Corporate reports, (post-event) FactSet Consensus, and NSR estimates and analysis.

# Relevant Further Research

- Nvidia: Delay in Blackwell is only a tactical setback. Upgrading to Buy, \$120 TP - (6 August 2024) - [Link](#)
- The supply chain wants AMD to win in datacenter GPU - (1 August 2024) - [Link](#)
- Hyperscalers beat on capex, but this is a lagging indicator - (1 August 2024) - [Link](#)
- The AI PC, Part II: Refresh cycle – hype or reality? - (18 July 2024) - [Link](#)
- Nvidia: can clients really make \$5-7 of revenues in 4 years out of \$1 spent on GPUs? - (12 July 2024) - [Link](#)
- Microsoft: Will AI ever contribute to free cash flow? What's the real value of AI, Part II - (11 July 2024) - [Link](#)
- AI Stocks: 360° health check after the June Rally: Downgrading Nvidia, maintain buy on others. - (5 July 2024) - [Link](#)
- The AI PC, Part I: Arm in PCs – different this time? - (27 June 2024) - [Link](#)
- Jensen, Hock, Lisa, Chuck, Jayshree, may we venture to make you all agree, please? - (10 June 2024) - [Link](#)
- Nvidia 1FQ25: 2025 shaping up even stronger, as we anticipated. Buy, \$1,190 TP. - (23 May 2024) - [Link](#)
- What do HBM manufacturers have to say about AI growth in 2025? - (7 May 2024) - [Link](#)
- AMD 1Q24: Reaching critical mass in Datacenter GPU for 2025. It is good news to us... Buy, \$200 TP - (1 May 2024) - [Link](#)
- AI datacenter industry model v2.0 – less, but more expensive chips, with more memory content. - (11 April 2024) - [Link](#)
- Nvidia, Broadcom, and the future of AI: Deeper thoughts on the back of last week's events - (25 March 2024) - [Link](#)
- \$400bn spent on datacenter AI chips in 2027? Part III: Implications for Semicap equipment - (23 February 2024) - [Link](#)
- After the rally: how to play the AI bull case, how to play the AI safe case, how to hedge against an AI winter. - (23 February 2024) - [Link](#)
- Nvidia 4FQ24: Confirms visibility into 2025 Buy, \$925 TP. - (22 February 2024) - [Link](#)
- Nvidia going after the custom ASIC opportunity. Our take. - (12 February 2024) - [Link](#)
- OpenAI now generates 100bn words per day. Our take. - (12 February 2024) - [Link](#)
- Sanity check on who spends what on AI this year, in a single slide. - (7 February 2024) - [Link](#)
- Is the color AMD gave on its \$400bn TAM credible? Comparing notes: - (6 February 2024) - [Link](#)
- We called last year for a reacceleration in cloud and 25% growth in capex. Here we are! - (2 February 2024) - [Link](#)
- AMD 4Q23: Fast MI300 ramp, stabilizing CPU shares, Console & Embedded correction in progress. Buy, \$225 TP - (31 January 2024) - [Link](#)

# Financial Statements and Disclosures

# Income Statement

| NVIDIA IS (Non-GAAP, US\$m)         | 1FQ24A<br>(Apr '23) | 2FQ24A<br>(Jul '23) | 3FQ24A<br>(Oct '23) | 4FQ24A<br>(Jan '24) | 1FQ25A<br>(Apr '24) | 2FQ25A<br>(Jul '24) | 3FQ25E<br>(Oct '24) | 4FQ25E<br>(Jan '25) | FY22A<br>(Jan '22) | FY23A<br>(Jan '23) | FY24A<br>(Jan '24) | FY25E<br>(Jan '25) | FY26E<br>(Jan '26) | FY27E<br>(Jan '27) | FY28E<br>(Jan '28) |
|-------------------------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
| Group Revenue                       | 7,192               | 13,507              | 18,120              | 22,103              | 26,044              | 30,040              | 32,875              | 36,410              | 26,914             | 26,974             | 60,922             | 125,369            | 171,469            | 196,924            | 220,791            |
| Year-on-Year Growth (%)             | (13.2%)             | 101.5%              | 205.5%              | 265.3%              | 262.1%              | 122.4%              | 81.4%               | 64.7%               | 61.4%              | 0.2%               | 125.9%             | 105.8%             | 36.8%              | 14.8%              | 12.1%              |
| Gaming Revenue                      | 2,240               | 2,486               | 2,856               | 2,865               | 2,647               | 2,880               | 3,024               | 3,024               | 12,462             | 9,067              | 10,447             | 11,575             | 12,733             | 14,006             | 15,406             |
| Year-on-Year Growth (%)             | (38.1%)             | 21.7%               | 81.4%               | 56.5%               | 18.2%               | 15.8%               | 5.9%                | 5.5%                | 60.6%              | (27.2%)            | 15.2%              | 10.8%              | 10.0%              | 10.0%              | 10.0%              |
| Professional Visualization Revenue  | 295                 | 379                 | 416                 | 463                 | 427                 | 454                 | 490                 | 520                 | 2,111              | 1,544              | 1,553              | 1,891              | 2,175              | 2,501              | 2,876              |
| Year-on-Year Growth (%)             | (52.6%)             | (23.6%)             | 108.0%              | 104.9%              | 44.7%               | 19.8%               | 17.9%               | 12.3%               | 100.5%             | (26.9%)            | 0.6%               | 21.8%              | 15.0%              | 15.0%              | 15.0%              |
| Datacenter Revenue                  | 4,284               | 10,323              | 14,514              | 18,404              | 22,563              | 26,272              | 28,899              | 32,367              | 10,613             | 15,005             | 47,525             | 110,101            | 154,142            | 177,263            | 198,535            |
| Year-on-Year Growth (%)             | 14.2%               | 171.2%              | 278.7%              | 409.0%              | 426.7%              | 154.5%              | 99.1%               | 75.9%               | 58.5%              | 41.4%              | 216.7%             | 131.7%             | 40.0%              | 15.0%              | 12.0%              |
| Automotive Revenue                  | 296                 | 253                 | 261                 | 281                 | 329                 | 346                 | 374                 | 411                 | 566                | 903                | 1,091              | 1,460              | 2,044              | 2,759              | 3,559              |
| Year-on-Year Growth (%)             | 114.5%              | 15.0%               | 4.0%                | (4.4%)              | 11.1%               | 36.8%               | 43.2%               | 46.3%               | 5.6%               | 59.5%              | 20.8%              | 33.8%              | 40.0%              | 35.0%              | 29.0%              |
| OEM & IP Revenue                    | 77                  | 66                  | 73                  | 90                  | 78                  | 88                  | 88                  | 88                  | 1,162              | 455                | 306                | 342                | 376                | 395                | 415                |
| Year-on-Year Growth (%)             | (51.3%)             | (52.9%)             | --                  | 7.1%                | 1.3%                | 33.3%               | 20.5%               | (2.2%)              | 84.2%              | (60.8%)            | (32.7%)            | 11.8%              | 10.0%              | 5.0%               | 5.0%               |
| Gross Profit                        | 4,802               | 9,614               | 13,583              | 16,959              | 20,560              | 22,729              | 24,644              | 27,002              | 17,968             | 15,965             | 44,958             | 94,936             | 126,415            | 143,212            | 158,362            |
| Gross Margin (%)                    | 66.8%               | 71.2%               | 75.0%               | 76.7%               | 78.9%               | 75.7%               | 75.0%               | 74.2%               | 66.8%              | 59.2%              | 73.8%              | 75.7%              | 73.7%              | 72.7%              | 71.7%              |
| Year-on-Year Growth (pts)           | (0.4pts)            | 25.3pts             | 18.8pts             | 10.6pts             | 12.2pts             | 4.5pts              | 0.0pts              | (2.6pts)            | 1.1pts             | (7.6pts)           | 14.6pts            | 1.9pts             | (2.0pts)           | (1.0pts)           | (1.0pts)           |
| Operating Expenditure               | (1,750)             | (1,838)             | (2,026)             | (2,210)             | (2,501)             | (2,792)             | (3,000)             | (3,217)             | (5,277)            | (6,925)            | (7,824)            | (11,510)           | (14,165)           | (15,582)           | (16,361)           |
| Operating Expenditure as % of Sales | 24.3%               | 13.6%               | 11.2%               | 10.0%               | 9.6%                | 9.3%                | 9.1%                | 8.8%                | 19.6%              | 25.7%              | 12.8%              | 9.2%               | 8.3%               | 7.9%               | 7.4%               |
| Research and Development            | (1,351)             | (1,440)             | (1,593)             | (1,759)             | (1,993)             | (2,258)             | (2,427)             | (2,609)             | (3,969)            | (5,445)            | (6,143)            | (9,288)            | (11,610)           | (12,771)           | (13,409)           |
| Selling, General and Administrative | (399)               | (398)               | (433)               | (451)               | (508)               | (534)               | (573)               | (607)               | (1,308)            | (1,480)            | (1,681)            | (2,222)            | (2,556)            | (2,811)            | (2,952)            |
| Operating Profit                    | 3,052               | 7,776               | 11,557              | 14,749              | 18,059              | 19,937              | 21,644              | 23,786              | 12,691             | 9,040              | 37,134             | 83,425             | 112,250            | 127,630            | 142,001            |
| Operating Margin (%)                | 42.4%               | 57.6%               | 63.8%               | 66.7%               | 69.3%               | 66.4%               | 65.8%               | 65.3%               | 47.2%              | 33.5%              | 61.0%              | 66.5%              | 65.5%              | 64.8%              | 64.3%              |
| Year-on-Year Growth (pts)           | (5.3pts)            | 37.8pts             | 37.9pts             | 30.0pts             | 26.9pts             | 8.8pts              | 2.1pts              | (1.4pts)            | 6.4pts             | (13.6pts)          | 27.4pts            | 5.6pts             | (1.1pts)           | (0.7pts)           | (0.5pts)           |
| Interest Income / (Expense)         | 85                  | 123                 | 172                 | 232                 | 296                 | 384                 | 350                 | 350                 | (205)              | 8                  | 612                | 1,380              | 1,400              | 1,400              | 1,400              |
| Profit Before Tax                   | 3,136               | 7,896               | 11,732              | 14,981              | 18,361              | 20,317              | 21,994              | 24,136              | 12,493             | 9,046              | 37,745             | 84,807             | 113,650            | 129,030            | 143,401            |
| Tax Charge                          | (423)               | (1,156)             | (1,712)             | (2,142)             | (3,123)             | (3,365)             | (3,739)             | (4,103)             | (1,234)            | (680)              | (5,433)            | (14,330)           | (19,320)           | (21,935)           | (24,378)           |
| Tax Rate (%)                        | 13.5%               | 14.6%               | 14.6%               | 14.3%               | 17.0%               | 16.6%               | 17.0%               | 17.0%               | 9.9%               | 7.5%               | 14.4%              | 16.9%              | 17.0%              | 17.0%              | 17.0%              |
| Net Income                          | 2,713               | 6,740               | 10,020              | 12,839              | 15,238              | 16,952              | 18,255              | 20,033              | 11,259             | 8,366              | 32,312             | 70,477             | 94,329             | 107,095            | 119,023            |
| Diluted Share Count (m)             | 24,900              | 24,990              | 24,940              | 24,900              | 24,890              | 24,848              | 24,820              | 24,796              | 25,366             | 25,113             | 24,931             | 24,835             | 24,729             | 24,629             | 24,512             |
| Year-on-Year Growth (%)             | (1.9%)              | (0.7%)              | (0.2%)              | 0.5%                | (0.0%)              | (0.6%)              | (0.5%)              | (0.4%)              | 1.0%               | (1.0%)             | (0.7%)             | (0.4%)             | (0.4%)             | (0.4%)             | (0.5%)             |
| Diluted EPS (US\$)                  | 0.11                | 0.27                | 0.40                | 0.52                | 0.61                | 0.68                | 0.74                | 0.81                | 0.44               | 0.33               | 1.30               | 2.84               | 3.81               | 4.35               | 4.86               |
| Year-on-Year Growth (%)             | (19.7%)             | 424.8%              | 589.6%              | 487.5%              | 461.9%              | 153.0%              | 83.1%               | 56.7%               | 77.6%              | (24.9%)            | 289.0%             | 119.0%             | 34.4%              | 14.0%              | 11.7%              |
| Dividend Per Share (US\$)           | 0.04                | 0.04                | 0.04                | 0.04                | 0.10                | 0.01                | 0.01                | 0.01                | 0.28               | 0.16               | 0.16               | 0.13               | 0.13               | 0.13               | 0.13               |
| Year-on-Year Growth (%)             | --                  | --                  | --                  | --                  | 150.0%              | (75.0%)             | (75.0%)             | (75.0%)             | (56.3%)            | (42.9%)            | --                 | (18.8%)            | --                 | --                 | --                 |
| Dividend Payout Ratio (%)           | 36.7%               | 14.8%               | 10.0%               | 7.8%                | 16.3%               | 1.5%                | 1.4%                | 1.2%                | 63.1%              | 48.0%              | 12.3%              | 4.6%               | 3.4%               | 3.0%               | 2.7%               |

Source: Corporate reports, and NSR estimates and analysis.

# Cashflow Statement

| NVIDIA CFS (US\$m)                 | 1FQ24A<br>(Apr '23) | 2FQ24A<br>(Jul '23) | 3FQ24A<br>(Oct '23) | 4FQ24A<br>(Jan '24) | 1FQ25A<br>(Apr '24) | 2FQ25A<br>(Jul '24) | 3FQ25E<br>(Oct '24) | 4FQ25E<br>(Jan '25) | FY22A<br>(Jan '22) | FY23A<br>(Jan '23) | FY24A<br>(Jan '24) | FY25E<br>(Jan '25) | FY26E<br>(Jan '26) | FY27E<br>(Jan '27) | FY28E<br>(Jan '28) |
|------------------------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
| Cashflow From Operating Activities |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Net Income                         | 2,043               | 6,188               | 9,243               | 12,285              | 14,881              | 16,599              | 17,108              | 18,773              | 9,753              | 4,368              | 29,759             | 67,361             | 89,878             | 101,996            | 113,318            |
| Change in Working Capital          | 904                 | (172)               | (2,735)             | (1,719)             | 834                 | (1,661)             | (2,434)             | (3,115)             | (3,363)            | (2,206)            | (3,722)            | (6,377)            | (16,555)           | (16,142)           | (9,017)            |
| Other Adjustments                  | (36)                | 332                 | 825                 | 933                 | (370)               | (449)               | 1,725               | 1,843               | 2,718              | 3,480              | 2,054              | 2,749              | 7,467              | 8,687              | 9,807              |
| Operating Cashflow                 | 2,911               | 6,348               | 7,333               | 11,499              | 15,345              | 14,489              | 16,399              | 17,500              | 9,108              | 5,642              | 28,091             | 63,733             | 80,790             | 94,540             | 114,107            |
| Cashflow from Investing Activities |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Capital Expenditure                | (248)               | (289)               | (278)               | (253)               | (369)               | (977)               | (1,158)             | (1,346)             | (975)              | (1,833)            | (1,068)            | (3,851)            | (2,217)            | (2,470)            | (2,763)            |
| Acquisition of Businesses          | (83)                | --                  | --                  | --                  | (39)                | (279)               | --                  | --                  | (263)              | (49)               | (83)               | (318)              | --                 | --                 | --                 |
| Other                              | (510)               | (158)               | (2,891)             | (5,856)             | (5,285)             | (1,929)             | --                  | --                  | (8,592)            | 9,256              | (9,415)            | (7,214)            | --                 | --                 | --                 |
| Investing Cashflow                 | (841)               | (447)               | (3,169)             | (6,109)             | (5,693)             | (3,185)             | (1,158)             | (1,346)             | (9,830)            | 7,374              | (10,566)           | (11,383)           | (2,217)            | (2,470)            | (2,763)            |
| Cashflow from Financing Activities |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Share Buyback                      | --                  | (3,067)             | (3,806)             | (2,660)             | (7,740)             | (7,158)             | (5,000)             | (5,000)             | --                 | (10,038)           | (9,533)            | (24,898)           | (30,000)           | (35,000)           | (40,000)           |
| Dividends Paid                     | (99)                | (99)                | (99)                | (99)                | (98)                | (246)               | (245)               | (245)               | (399)              | (398)              | (396)              | (835)              | (3,180)            | (3,167)            | (3,152)            |
| Other                              | (281)               | (1,932)             | (622)               | (870)               | (1,507)             | (2,916)             | --                  | 0                   | 2,264              | (1,181)            | (3,705)            | (4,423)            | (0)                | (0)                | --                 |
| Financing Cashflow                 | (380)               | (5,098)             | (4,527)             | (3,629)             | (9,345)             | (10,320)            | (5,245)             | (5,245)             | 1,865              | (11,617)           | (13,634)           | (30,156)           | (33,180)           | (38,167)           | (43,152)           |
| Change in Cash                     |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Starting Cash                      | 3,389               | 5,079               | 5,882               | 5,519               | 7,280               | 7,587               | 8,571               | 18,566              | 847                | 1,990              | 3,389              | 7,280              | 29,475             | 74,869             | 128,773            |
| Change in Cash                     | 1,690               | 803                 | (363)               | 1,761               | 307                 | 984                 | 9,995               | 10,909              | 1,143              | 1,399              | 3,891              | 22,195             | 45,394             | 53,904             | 68,193             |
| Ending Cash                        | 5,079               | 5,882               | 5,519               | 7,280               | 7,587               | 8,571               | 18,566              | 29,475              | 1,990              | 3,389              | 7,280              | 29,475             | 74,869             | 128,773            | 196,966            |
| Free Cash Flow                     |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Free Cash Flow                     | 2,663               | 6,059               | 7,055               | 11,246              | 14,976              | 13,512              | 15,241              | 16,154              | 8,133              | 3,809              | 27,023             | 59,883             | 78,574             | 92,070             | 111,344            |
| Free Cash Flow per Share           | 0.1                 | 0.2                 | 0.3                 | 0.5                 | 0.6                 | 0.5                 | 0.6                 | 0.7                 | 0.4                | 0.2                | 1.1                | 2.4                | 3.2                | 3.7                | 4.5                |

Source: Corporate reports, and NSR estimates and analysis.



# Balance Sheet

| NVIDIA BS (US\$m)                                 | 1FQ24A<br>(Apr '23) | 2FQ24A<br>(Jul '23) | 3FQ24A<br>(Oct '23) | 4FQ24A<br>(Jan '24) | 1FQ25A<br>(Apr '24) | 2FQ25A<br>(Jul '24) | 3FQ25E<br>(Oct '24) | 4FQ25E<br>(Jan '25) | FY22A<br>(Jan '22) | FY23A<br>(Jan '23) | FY24A<br>(Jan '24) | FY25E<br>(Jan '25) | FY26E<br>(Jan '26) | FY27E<br>(Jan '27) | FY28E<br>(Jan '28) |
|---------------------------------------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|--------------------|
| <b>Assets</b>                                     |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| <b>Current Assets</b>                             |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Cash, Cash Equivalents, & Marketable Securities   | 15,320              | 16,023              | 18,281              | 25,984              | 31,438              | 34,800              | 44,795              | 55,704              | 21,208             | 13,296             | 25,984             | 55,704             | 101,098            | 155,002            | 223,195            |
| Accounts Receivable, Net                          | 4,080               | 7,066               | 8,309               | 9,999               | 12,365              | 14,132              | 15,466              | 15,928              | 4,650              | 3,827              | 9,999              | 15,928             | 29,831             | 43,432             | 50,510             |
| Inventories                                       | 4,611               | 4,319               | 4,779               | 5,282               | 5,864               | 6,675               | 8,239               | 11,484              | 2,605              | 5,159              | 5,282              | 11,484             | 15,813             | 18,851             | 21,911             |
| Prepaid Expenses and Other Current Assets         | 872                 | 1,389               | 1,289               | 3,080               | 4,062               | 4,026               | 4,026               | 4,026               | 366                | 791                | 3,080              | 4,026              | 4,026              | 4,026              | 4,026              |
| <b>Total Current Assets</b>                       | <b>24,883</b>       | <b>28,797</b>       | <b>32,658</b>       | <b>44,345</b>       | <b>53,729</b>       | <b>59,633</b>       | <b>72,526</b>       | <b>87,142</b>       | <b>28,829</b>      | <b>23,073</b>      | <b>44,345</b>      | <b>87,142</b>      | <b>150,768</b>     | <b>221,311</b>     | <b>299,642</b>     |
| <b>Non-Current Assets</b>                         |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Property and Equipment                            | 3,740               | 3,799               | 3,844               | 3,914               | 4,006               | 4,885               | 5,796               | 6,877               | 2,778              | 3,807              | 3,914              | 6,877              | 7,977              | 9,253              | 10,734             |
| Goodwill                                          | 4,430               | 4,430               | 4,430               | 4,430               | 4,453               | 4,622               | 4,622               | 4,622               | 4,349              | 4,372              | 4,430              | 4,622              | 4,622              | 4,622              | 4,622              |
| Intangible Assets                                 | 1,541               | 1,395               | 1,251               | 1,112               | 986                 | 952                 | 790                 | 669                 | 2,339              | 1,676              | 1,112              | 669                | 1,070              | 1,330              | 1,499              |
| Other Non-Current Assets                          | 9,866               | 11,134              | 11,965              | 11,927              | 13,898              | 15,135              | 15,135              | 15,135              | 5,892              | 8,254              | 11,927             | 15,135             | 15,135             | 15,135             | 15,135             |
| <b>Total Non-Current Assets</b>                   | <b>19,577</b>       | <b>20,758</b>       | <b>21,490</b>       | <b>21,383</b>       | <b>23,343</b>       | <b>25,594</b>       | <b>26,342</b>       | <b>27,302</b>       | <b>15,358</b>      | <b>18,109</b>      | <b>21,383</b>      | <b>27,302</b>      | <b>28,804</b>      | <b>30,340</b>      | <b>31,990</b>      |
| <b>Total Assets</b>                               | <b>44,460</b>       | <b>49,555</b>       | <b>54,148</b>       | <b>65,728</b>       | <b>77,072</b>       | <b>85,227</b>       | <b>98,868</b>       | <b>114,444</b>      | <b>44,187</b>      | <b>41,182</b>      | <b>65,728</b>      | <b>114,444</b>     | <b>179,572</b>     | <b>251,651</b>     | <b>331,632</b>     |
| <b>Liabilities and Shareholders' Equity</b>       |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| <b>Current Liabilities</b>                        |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Accounts Payable                                  | 1,141               | 1,929               | 2,380               | 2,699               | 2,715               | 3,680               | 4,143               | 4,735               | 1,783              | 1,193              | 2,699              | 4,735              | 6,412              | 6,908              | 8,030              |
| Accrued and Other Liabilities                     | 4,869               | 7,156               | 5,472               | 6,682               | 11,258              | 10,289              | 10,289              | 10,289              | 2,552              | 4,120              | 6,682              | 10,289             | 10,289             | 10,289             | 10,289             |
| Convertible Debt, Short-Term                      | 1,250               | 1,249               | 1,249               | 1,250               | 1,250               | --                  | --                  | --                  | --                 | 1,250              | 1,250              | --                 | --                 | --                 | --                 |
| <b>Total Current Liabilities</b>                  | <b>7,260</b>        | <b>10,334</b>       | <b>9,101</b>        | <b>10,631</b>       | <b>15,223</b>       | <b>13,969</b>       | <b>14,432</b>       | <b>15,024</b>       | <b>4,335</b>       | <b>6,563</b>       | <b>10,631</b>      | <b>15,024</b>      | <b>16,701</b>      | <b>17,197</b>      | <b>18,319</b>      |
| <b>Non-Current Liabilities</b>                    |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| Long-Term Debt                                    | 9,704               | 8,456               | 8,457               | 8,459               | 8,460               | 8,461               | 8,461               | 8,461               | 10,946             | 9,703              | 8,459              | 8,461              | 8,461              | 8,461              | 8,461              |
| Other Long-Term Liabilities                       | 939                 | 1,041               | 1,091               | 1,119               | 1,281               | 1,304               | 1,304               | 1,304               | 741                | 902                | 1,119              | 1,304              | 1,304              | 1,304              | 1,304              |
| Capital Lease Obligations, Long-Term              | 2,037               | 2,223               | 2,234               | 2,541               | 2,966               | 3,336               | 3,336               | 3,336               | 1,553              | 1,913              | 2,541              | 3,336              | 3,336              | 3,336              | 3,336              |
| <b>Total Non-Current Liabilities</b>              | <b>12,680</b>       | <b>11,720</b>       | <b>11,782</b>       | <b>12,119</b>       | <b>12,707</b>       | <b>13,101</b>       | <b>13,101</b>       | <b>13,101</b>       | <b>13,240</b>      | <b>12,518</b>      | <b>12,119</b>      | <b>13,101</b>      | <b>13,101</b>      | <b>13,101</b>      | <b>13,101</b>      |
| <b>Commitment and Contingencies</b>               |                     |                     |                     |                     |                     |                     |                     |                     |                    |                    |                    |                    |                    |                    |                    |
| <b>Total Shareholders' Equity</b>                 | <b>24,520</b>       | <b>27,501</b>       | <b>33,265</b>       | <b>42,978</b>       | <b>49,142</b>       | <b>58,157</b>       | <b>71,335</b>       | <b>86,319</b>       | <b>26,612</b>      | <b>22,101</b>      | <b>42,978</b>      | <b>86,319</b>      | <b>149,770</b>     | <b>221,353</b>     | <b>300,212</b>     |
| <b>Total Liabilities and Shareholders' Equity</b> | <b>44,460</b>       | <b>49,555</b>       | <b>54,148</b>       | <b>65,728</b>       | <b>77,072</b>       | <b>85,227</b>       | <b>98,868</b>       | <b>114,444</b>      | <b>44,187</b>      | <b>41,182</b>      | <b>65,728</b>      | <b>114,444</b>     | <b>179,572</b>     | <b>251,651</b>     | <b>331,632</b>     |

Source: Corporate reports, and NSR estimates and analysis.



# Disclosures

12 month historical recommendation changes are available on request

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